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For a global economy reeling under the impact of the Russian invasion of Ukraine, which began in February 2022, the Israel-Hamas war has come as a fresh challenge. On October 7, Hamas, the militant nationalist group that controls the Palestinian territory of Gaza, launched a surprise attack on major Israeli population centres, leading to retaliatory airstrikes. The conflict has claimed some 6,000 lives so far. With Israel planning to step up its offensive with a ground invasion of the Gaza Strip, casualties, destruction and geopolitical tensions are bound to rise further.

The impact of the Russia-Ukraine war on a global economy that was just recovering from the ravages of the Covid-19 pandemic was quite palpable. Involving a major energy producer (Russia) and a major agricultural producer (Ukraine), the war has led to high energy prices, a global food shortage and inflation. Both the developed world and the emerging economies are growing far slower than expected. The International Monetary Fund (IMF) estimates that global growth will slow down from 3.5 per cent in 2022 to 3 per cent in 2023 and to 2.9 per cent in 2024, well below the historical average of 3.8 per cent. "Despite war-disrupted energy and food markets and unprecedented monetary tightening to combat decades-high inflation," the IMF report said, "economic activity has slowed but not stalled. Even so, growth remains slow and uneven, with widening divergences."

But the report, published in early October, did not take into account the impact of the Israel-Hamas war. Global inflation, which spurted to 9.2 per cent in the aftermath of the Russian invasion of Ukraine, fell to 5.9 per cent in 2023 as central banks across the world raised interest rates to cool down high prices. The IMF projected inflation at 4.8 per cent in 2024, but that could change with the tensions in West Asia. And the impact on India could be serious.

THE GLOBAL REPERCUSSION

"Geopolitics is becoming a significant factor affecting the outlook for the economy and financial markets for the past four to five years," says economist Ajit Ranade, citing the disruptions of Brexit, the China-US confrontation, the Russian invasion of Ukraine and now the Israel-Hamas war. "The war," he says, "adds to the uncertainty and anxiety across the globe." Analysts are of the view that if the war escalates to a point where other countries, especially Iran, are drawn in, it could lead to major disruptions and slowdown.

A report by Bloomberg Economics considers its likely impact on global growth and inflation under three scenarios. First, if the war is confined largely to Israel and the Palestinian territories of Gaza and the West Bank, the impact will be limited, not making any significant change in oil prices, inflation or growth. (Brent crude prices were trading at $92.16, or roughly Rs 7,650, a barrel on October 21.)

Second, in case of a multi-front war in Gaza, West Bank, Syria and Lebanon, and unrest in wider West Asia, oil prices could rise by $8 (Rs 665) per barrel, inflation by 0.2 percentage points, and growth would slow by 0.3 points.

Third, a direct war involving Israel and Iran, coupled with unrest in West Asia, could see oil prices rising by an additional $64 (Rs 5,315) a barrel, reaching the $150 (Rs 12,460) a barrel range. Inflation, meanwhile, could rise by 1.2 points, and GDP growth fall by 1 point. "The war